EXECUTIVE SUMMARY

1. Introduction

Calayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri. This town has a total land area of 54,953.75 hectares and is a third class municipality with twelve barangays. This municipality is an archipelago composed of small islands and islets.

The audit covered the accounts and operations of the Municipality of Calayan for the year 2017 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2017, with comparative figures for CY 2016, are as follows:

Particulars	2017	2016	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	286,045,824.82	241,889,405.66	44,156,419.16	18.25%
Liabilities	109,443,598.12	86,734,752.16	22,708,845.96	26.18%
Gov't Equity	176,602,226.70	155,154,653.50	21,447,573.2	13.82%
Results of Operation				
Total Income	125,541,053.08	109,666,915.84	15,874,137.24	14.47%
Total Expenses	96,928,181.87	96,789,779.94	138,401.93	0.14%
Appropriations, Allotments and Obligations				
Appropriations	177,326,726.54	162,368,937.30	14,957,789.24	9.21%
Allotments	117,353,594.07	112,332,078.98	5,021,515.09	4.47%
Obligations	109,044,276.03	98,272,618.24	10,771,657.79	10.96%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2017	2016	Increase (Decrease)	
			Amount	**Percentage**
Funds Received from Other Agencies				
Due to NGAs	P -	P -	P -	
Due to GOCCs	-	-	-	
Due to LGUs	1,482,821.60	2,181,613.10	(698,791.5)	(32.03)%
TOTAL	**P 1,482,821.60**	**P 2,181,613.10**	**P (698,791.5)**	**(32.03)%**
Funds Transferred to Other Agencies:				
Due from NGAs	P 26,153,080.36	P 8,082,585.69	P18,070,494.67	223.57%
Due from LGUs	2,850,696.02	1,468,697.75	1,381,998.27	94.10%
TOTAL	**P 29,003,776.38**	**P 9,551,283.44**	**P19,452,492.94**	**203.66%**

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness of the account valued at P162,020,076.61 (net of depreciation) could not be ascertained due to the failure of the Management to conduct physical inventory of all LGU properties and lack of property and equipment ledger cards. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Audit Observations and Recommendations

1. Fund transfers received from National Government Agencies (NGAs) and Other Local Government Units (LGUs) amounting to P19,546,250.00 for various projects and programs were not completely undertaken, thus timely implementation, objectives and benefits of these projects for the intended beneficiaries were not attained.

   We recommended that the Municipality carefully plan the implementation of projects funded by other agencies to effect the timely delivery of basic services to the people most especially the intended beneficiaries of these programs.

2. The annual GAD Plan and Budget (GPB) for CY 2017 amounting to P6,268,398.75 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-001, thus, identified programs, projects and activities cannot be ascertained whether it is in response with the gender issues and concerns of the locality.

   We recommended that Management comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

3. The Municipality has not established a Local Council for the Protection of Children (LCPC) nor provided the necessary appropriation in the amount of P1,190,679.75 representing 1% of the Internal Revenue Allotment (IRA) for CY 2017 of P119,067,975.00 contrary to Section 15 of Republic Act (RA) No. 9344, hence the objective of the law for the promotion and protection of the rights and for the development of the well-being of children was not achieved.

   We recommended that Management establish a Local Council for the Protection of Children (LCPC) to coordinate with and assist the LGU for the adoption of a comprehensive plan on delinquency prevention, and to oversee its proper implementation. Also, direct the Municipal Budget Officer to provide the necessary appropriation representing one percent (1%) of the IRA for the strengthening and implementation of the programs of the LCPC.

4. The Municipality has no Solid Waste Management Plan duly approved by the National Solid Waste Management Commission in violation of Section 16 of Republic Act No. 9003. Thus, deprived the constituents of the municipality to a systematic, comprehensive and ecological solid waste management program on better protection of public health and environment.

   We recommended that the Solid Waste Management Plan be duly approved by the National Solid Waste Management Commission to ensure that the programs and activities included in such plan are consistent with the National Solid Waste Management Framework and to ensure that the municipality adopted a systematic, comprehensive, and ecological waste management program.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issuances or settlement of Suspensions and Disallowances as at December 31, 2017.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the ten (10) audit recommendations embodied in the 2016 Annual Audit Report, one (1) was fully implemented, five (5) were partially implemented and four (4) were not implemented as of December 31, 2017.